

Pinewood Technologies Group PLC PINE LN

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by

RoyalDutch

2026 2027

Price:	263.00	EPS	9.3	21
Shares Out. (in M):	115	P/E	28.2	12.6
Market Cap (in \$M):	406	P/FCF	28.2	12.6
Net Debt (in \$M):	-46	EBIT	19	43
TEV (in \$M):	360	TEV/EBIT	18.8	8.4

Description

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Investment Thesis: Half the Recently Recommended Bid for the Same Business

Pinewood Technologies Group PLC (PINE) is a UK dealership software business with recurring revenue, trading at roughly half the price that Apax Partners landed at in January 2026 in an advised cash offer the Pinewood Board was minded to recommend. Apax withdrew in February 2026 on market conditions rather than company-specific findings, and is bound by Rule 2.8 of the City Code from returning until mid-August 2026. The Board has since reaffirmed its medium-term underlying EBITDA guidance three separate times, including at audited final results.

Against the broader narrative that artificial intelligence is structurally compressing vertical SaaS economics, Pinewood is protocol-level infrastructure rather than a flat productivity layer: a multi-year, OEM-by-OEM integration across more than 50 OEM brands, embedded in the systems of record. FY25 net customer churn ran at 2.5 percent and OEMs are consolidating their approved dealer-software partner base around a handful of survivors. AI does not displace that line item.

The trade is the gap between where the Board was prepared to clear and where the stock trades today: c. 90 percent upside to the Apax level alone, materially more on the peer-median trailing multiple.

Key Stats

The thesis pivots on three anchors. Management's reaffirmed FY28 underlying [EBITDA guidance](#) of £58 to £62 million. The post-downgrade [FY26 consensus](#) of £21.3 million underlying EBITDA, confirmed in line at the FY2025 final results on 22 April 2026. And a current enterprise value of £270 million, which translates to 4.5x the FY28 midpoint against 9.0x implied at the [Apax 500p indicative](#) the Board was minded to recommend on 29 January 2026.

	FY24 (11m)	FY25	FY26e	FY27e	FY28e
Revenue £m	31.2	40.5			
Gross profit £m	28.2	34.7			
Underlying EBITDA £m	14.0	16.4	21.3	40.7	60.0
Underlying EBITDA margin	44.9%	40.5%			
Underlying PBT £m	8.5	8.8			
Cash £m	9.3	34.1			
Recurring revenue %	86.5%	83.2%			
Net customer churn		2.5%			
Total contract value £m		64.5			

FY26e is the company-cited consensus at the 22 April 2026 final results; FY28e is the midpoint of management's reaffirmed £58-62m guidance; FY27e 40.7 is the linear interpolation between the two anchors. The 11-month FY24 column reflects the accounting reset after the April 2024 Pendragon disposal to Lithia Motors, Inc. ("Lithia"); pre-April 2024 figures are not comparable, and the higher FY24 EBITDA margin versus FY25 reflects the post-spinout cost base normalising into full-year operations. Sources: Pinewood [H1 interims](#), 24 September 2025; [Apax response](#), 16 February 2026; [Business Update](#), 25 March 2026; [FY2025 Final Results](#), 22 April 2026; CapIQ snapshot, 28 May 2026.

Background and Journey to Pure-Play Software

Pinewood is the software stub of the former Pendragon plc. In April 2024 Pendragon sold its UK automotive dealerships to Lithia Motors, Inc. for £400 million, returned £358 million to shareholders by way of a B-share scheme, retained the in-house dealership management software business, and renamed itself Pinewood Technologies. Lithia took an equity stake and entered into a joint venture ("JV") to roll the software into Lithia's US dealership network.

The April 2025 [long thesis](#) on Pinewood posted to Value Investors Club by member AAR identified four operational drivers. New UK customer wins free of the prior conflict of interest with Pendragon. A US rollout through the Lithia joint venture. A Japan rollout through Volkswagen and Audi. The Seez AI bolt-on. AAR's piece remains the right long-form operational background.

In the thirteen months since, every driver has triggered. The US joint venture was collapsed in June and July 2025 on better terms than originally modelled, with Pinewood taking out Lithia's 50% interest for shares at 15% dilution and Lithia entering a five-year commercial contract that management expects to generate approximately \$60 million of annual revenue by the end of 2028. UK contract wins followed in turn with Marshall Motor Group and Global Auto Holdings, the latter being the owner of Lookers, while the Volkswagen and Audi Japan contract went operational across 320 dealerships and the Seez bolt-on integrated into the platform. Pinewood South Africa was acquired in August 2025 and the Netherlands reseller in February 2026, both rounding out the international footprint, and the Group was admitted to the FTSE 250 on 15 September 2025 with FY2025 revenue growing 29.8% and underlying EBITDA up 17.1%.

Thirteen months on, the question is no longer whether AAR's catalysts will trigger. The catalysts triggered, the FY28 EBITDA anchor has been re-asserted by management three times, the issuer was bid at 500p in a cash offer the Board was minded to recommend, the bid then walked. The stock is at 263p. The follow-up question this note addresses is therefore different in shape from AAR's original: how

much of the move from AAR's 350p to today's 263p is sector beta versus deal-specific, and what does the standalone case look like once the bid round-trip is taken out.

Why cheap?

The proximate driver of the round-trip from the late-January 2026 peak has been technical, not fundamental. Once Apax withdrew on 13 February 2026 the merger-arbitrage funds that had built positions in expectation of a firm 2.7 announcement became forced sellers. US-based arbs in particular cleared their books into the post-2.8 market, and the dislocation widened through February and March 2026 as the holder rotation completed.

A second leg followed. On 25 March 2026 Pinewood [announced a delay](#) to the Marshalls implementation, pushing the rollout from Q1 2026 to the second half of 2026. The same statement guided FY26 underlying EBITDA "lower than current market expectations" and reaffirmed the FY28 £58-62 million target. The Marshalls timing slip is informative: since the October 2024 contract signing, Marshalls has added Geely, Omoda, Jaecoo, BYD and Genesis dealerships to its portfolio, and the integration sequencing got more complex specifically because the buyer's footprint expanded. The eventual user count is higher, the timing is later.

At the [FY2025 final results](#) on 22 April 2026 the Board confirmed FY26 underlying EBITDA is now expected in line with the post-downgrade consensus of £21.3 million, and again reaffirmed the £58-62 million FY28 anchor with the explicit statement that approximately 85% of the projected EBITDA growth is covered by signed contracts. The Pinewood Board reaffirmed the standalone case in writing three times across consecutive RNS in February, March and April 2026. The marginal seller in the weeks after was not pricing the standalone case; it was unwinding a deal that no longer existed.

The operational thesis is intact. The price has done the opposite. The reason is a holder rotation away from event-driven capital, compounded by a short-cycle profit downgrade on timing rather than commercial deterioration.

Valuation

The anchor: management's reaffirmed FY28 underlying EBITDA guidance

The Pinewood Board's 16 February 2026 statement reaffirmed FY28 underlying EBITDA guidance of £58 to £62 million, and the 22 April 2026 final results re-asserted the same range, adding that c.85% of the projected EBITDA growth is covered by signed customer contracts. At the current share price, the enterprise value of the business translates to 4.5x at the midpoint of that range.

For a software business with 2.5% net customer churn, deep OEM integration, FTSE 250 membership and 83.2% recurring revenue mix, 4.5x is not a multiple at which UK mid-cap software trades.

Where the Board priced it

At Apax's recommended 500p, the implied equivalent multiple would have been 9.0x FY28 EBITDA. That is closer to the level at which the comparable peer set transacts, and it is the level at which the Pinewood Board was prepared to recommend. The peer median across UK-listed automotive finance and vertical SaaS comparables sits materially above the Apax level.

Issuer / scenario	TEV (£m)	EBITDA (£m)	EV / EBITDA
PINE LN, current market	270	60	4.5x
PINE LN at Apax 500p, 29 January 2026	542	60	9.0x
ALFA LN	445	38	11.6x
GBG LN	609	42	14.6x
SGE LN	9,432	626	15.1x
CRW LN	483	30	16.1x
CER LN	357	21	17.0x
Peer median			15.1x

PINE EBITDA is management's FY28 underlying guidance midpoint. Peer EBITDA is trailing 12-months per CapIQ point-in-time snapshot, 26 May 2026, making the gap conservative since forward peer multiples typically print lower than trailing. Peers: Alfa Financial Software (ALFA, UK-listed automotive finance and leasing software), GB Group (GBG, UK identity verification SaaS), Sage Group (SGE, UK SaaS benchmark in accounting and payroll), Craneware (CRW, AIM-listed healthcare cost software), Cerillion (CER, AIM-listed telco BSS/OSS software).

What this requires of the future

The trade does not depend on a standalone re-rating argument, on commercial wins beyond those already signed, or on a further sponsor approach. It depends on management landing close to its own guidance.

That guidance was defended in writing to the market three times across February, March and April 2026, the third time as part of audited final results. It is as well-anchored a forward number as a UK mid-cap software business is likely to publish. The Group's own statement quantifies the contracted coverage at approximately 85% of projected EBITDA growth and a Total Contract Value of £64.5 million at end-2025. The disclosed pipeline of signed but un-onboarded users supports the FY28 number on contract slide alone: Lookers adds approximately 8,000 UK users with onboarding completing Q4 2026, and Marshalls adds further users going live H2 2026; the Volkswagen and Audi Japan rollout adds 8,000 more across 320 dealerships; the five-year Lithia commercial contract underpins 18,000 US users with system testing live and engagement covering approximately 90% of Lithia's North American OEM brand base.

Risks and Mitigants

Firstly, execution slippage on onboarding is the demonstrated risk, not the hypothesised one. The 25 March 2026 Marshalls timing slip pushed FY26 EBITDA below the pre-update market expectation. Lookers is on schedule for Q4 2026 completion, the US business is in system testing, and Japan is rolling. A coincident further slip across all three would push the standalone case onto a longer curve. The mitigant is that the three pipelines are signed contracts with named customers of investment-grade or near-investment-grade credit quality, that the Marshalls slip occurred because Marshalls' user base expanded (Geely, Omoda, Jaecoo, BYD and Genesis dealer additions), and that c.85% of the FY28 EBITDA growth is contract-covered per management.

Secondly, bidder return is optionality rather than thesis. Apax cited market conditions, not company-specific findings. Rule 2.8 of the Code prevents a return without invitation until 13 August 2026. Harwood Capital and Oryx International Growth Fund (associated with Christopher Mills) began disclosing Form 8.3 positions in early February 2026, which has historically preceded either a counter-approach or a price-blocking accumulation at the existing level.

Lastly, the broader market narrative that artificial intelligence is structurally compressing vertical SaaS economics applies to PINE only at the surface level. UK and US mid-cap software multiples have compressed 30 to 50 percent since the start of 2026 and the sentiment leg of the PINE round-trip would have arrived with or without the Apax withdrawal. PINE's mitigant is structural: it is a protocol-level integration with each OEM's warranty, finance and customer-record systems, with relationships across more than 50 OEM brands, onboarding cycles of 18 to 24 months per major dealership group, and FY25 net customer churn of 2.5 percent. OEMs are consolidating their approved dealer-software partner base from a long tail of around 200 down to single digits per OEM and Pinewood is one of the survivors. A system of record that closes the books and processes warranty claims at a low single-digit percentage of a typical franchised dealership's annual operating profit is not what an AI substitution narrative threatens. At a 6x FY28 EV/EBITDA peer-derate, the implied share price floors at 342p, still 30 percent above entry.

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Catalyst

- **Lithia US system goes live.** System testing was underway at Lithia's US dealers as at the FY2025 results on 22 April 2026, with engagement covering c.90% of Lithia's North American OEM brand base. Revenue contribution begins in FY2026, stepping up to the \$60 million annual run-rate target by the end of 2028.
- **Lookers implementation completes Q4 2026.** Approximately 8,000 new users in a single onboarding event, contributing material incremental annual recurring revenue into FY2027.
- **Apax Rule 2.8 restriction expires 13 August 2026.** The end of the six-month no-return window reopens the path for any acquirer, strategic or sponsor, to approach the Board. No firm offer can be assumed; the well-publicised existence of a Board-recommended 500p price level is the marker.

Messages

No messages